Economics - Undergraduate Level Assessment 7 Total Marks: 40 Answer all questions.

Multiple Choice (10 marks)

1. What is a monopoly?
   (a) A monopoly is a company that has no control over the market.
   (b) A monopoly is a government-run entity that controls all aspects of a market.
   (c) A monopoly is a business that can set its own prices.
   (d) A monopoly is a firm which is the sole producer of a good.
   (e) A monopoly is a market structure with only two firms competing against each other.

2. What is the primary objective of management in managerial economics?
   (a) maximization of the firm's value
   (b) minimization of costs
   (c) maximization of market share
   (d) minimization of environmental impact
   (e) maximization of social welfare

3. The price elasticity of demand for a product is greater if
   (a) the proportion of the good of the consumer's budget is high.
   (b) the number of substitute products is limited.
   (c) the product is unique and has no substitutes.
   (d) the consumer has a high income.
   (e) the period of time to respond to a price change is short.

4. At the peak of a typical business cycle which of the following is likely the greatest threat to the macroeconomy?
   (a) Unemployment
   (b) Overproduction of goods and services
   (c) Bankruptcy
   (d) Reduced consumer spending
   (e) Decreased interest rates

5. If people expect the price of a particular product to increase in the near future
   (a) this will increase the supply of the product.
   (b) this will cause the producer to decrease the supply of the product.

(c) this will not affect the demand for the product now or later.

(d) this will decrease the supply of the product.

(e) this will increase the demand for the product.

True / False (10 marks)

Answer True or False

6. True or False: In the presence of a positive externality, the marginal private cost exceeds the marginal social benefit at the market quantity.

7. True or False: The final model using the general to specific approach may lack theoretical interpretation.

8. True or False: The GDP Deflator is less reliable than the Consumer Price Index (CPI) in measuring overall economic inflation.

9. True or False: An increase in the standard of living indicates that output has increased proportionally more than the population.

10. True or False: The removal of a protective tariff on imported steel improves allocative efficiency in the market.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the differences in price determination between centrally planned and capitalist economies, and analyze the implications of these differences on the economic functions of prices in each system.

12. Discuss the key characteristics of British socialism, focusing on its evolutionary approach, government involvement in industries, and social welfare initiatives. Analyze their economic implications.

End of Paper